Business Law I – Midterm Sheet

ESADE BBA · Units 1–9 · Part I: 20 MCQ, 30 min, +0.5 / −0.1 ⇒ never leave blanks

U1 · Legal rule & system

Rule = **general** + **coercible**. Interpretation art. 3 CC (words, context, history, social reality, *purpose*).
BOE → **20 days** vacatio legis → in force → repeal (express / tacit). Ignorance is no excuse (art. 6 CC).
Sources (art. 1 CC): law → custom (proven) → principles. Case law only *complements*.
Pyramid: Constitution > treaties/EU > acts > RLD/RDL (status of act) > Royal Decrees > orders.
State vs regions = **competence**. Treaty vs Constitution ⇒ amend Constitution first (art. 95).
EU **Regulation** = directly applicable (GDPR) · **Directive** = transpose. EU law prevails.
Trap: mandatory rule = void if breached; dispositive = only if no agreement (art. 314 CCom).

U2 · Entrepreneur

Business Law = special **private** law of entrepreneurs (not tax/employment). Art. 2 CCom: Code → **usage** → civil law (art. 50: contracts → civil law). Art. 149.1.6 CE: State only.
Enterprise (no personality) ≠ **entrepreneur** (own name, organised, professional) ≠ **business/establishment**.
Duties: accounts · registry (**optional for individuals**) · fair competition. Liability: all present & future assets (1911 CC), incl. employees' acts.
Legal capacity (birth) vs capacity to operate (18 + not incapacitated). Prohibitions to compete: contracts stay **valid**.
Partners (general partnership): personal, unlimited, **subsidiary**, joint & several. Capital co. members: **not** liable · except **irregular** co. / **veil lifting**.

U3 · Incorporation

	S.L.	S.A.
Min capital	€3,000	€60,000
Paid at start	100%	25%
Non-cash	no report	expert report
Units	stakes	shares (securities)
Transfer	restricted	free
Board	3–12	3–no max
Director term	may be indefinite	max 6 yrs

Deed before **notary** + **Registry** (1 year) ⇒ personality. One founder OK (SLU/SAU). **Work never capital** (58.2) → ancillary commitment (86).
Equity = assets − liabilities = capital + reserves ±. **Book** = equity ÷ shares · **Fair** = book ± expectations.

U4 · General meeting & directors

GM (art. 160): accounts · directors · by-laws · capital · pre-emptive right · **core assets >25%** · structural changes · dissolution. Ordinary GM: first **6 months**.
Convene: directors · **5%** can request · notice **1 month S.A.** / **15 days S.L.** · universal = 100% + unanimity.
Off-agenda only: remove directors, liability action. Resolutions bind absent & dissenting.

	S.A.	S.L.
Quorum	25% / any; special 50% / 25%	none
Ordinary	more for than against	majority cast ≥ 1/3 all
By-laws, capital	abs. maj. (2/3 if 25–50%)	> 1/2 all votes
Merger, excl. pre-emption	idem	≥ 2/3 all votes

Directors: **sole** · **joint & several** (each alone) · **joint** (together; S.A. max 2) · **board** (min 3).
Trap: members can't represent the company; GM can't interfere in management.

U5 · Directors' duties & liability

Care (225): orderly entrepreneur – prudence, competence, dedication, information, vigilance (risk monitoring). **Loyalty** (227–230): faithful representative – secrecy (also after), abstain, no competing; mandatory; GM may exempt case by case.
BJR (226): good faith + no interest + info + procedure ⇒ diligence presumed.
Debts (subsidiary, only *later* debts): insolvency not filed in 2 months · GM not convened when equity < 1/2.
Damages (236): fault + damage + causal link; fault presumed if illegal; GM approval **never** exonerates; de facto directors too; board: joint & several unless opposed / unaware / did all (237).
Actions: **corporate** (company → 5% after 1 month → creditors) · **individual** (direct damage).

U6 · By-laws, capital increase & reduction

GM amends; directors may move office **within Spain**. New obligations ⇒ consent; purpose change ⇒ exit right.
Increase: cash ↑ · non-cash ↑ (S.A. expert) · loans ↑ (S.A. 25% due + 5 yrs + auditor; S.L. 100%) · **reserves =** (balance ≤ 6 months). Register resolution + execution together.
Pre-emptive right: cash increases, ≥ 1 month. **Premium** avoids dilution.
Reduction: losses · reserves · refund. **S.A.: equity < 2/3 for 1 year ⇒ mandatory.** Creditors oppose (S.A., 1 month) only if equity really falls. Accordion = reduce below min + increase.

U7 · Structural changes & termination

RDL 5/2023: transformation · merger · division · global assignment (+ office abroad).
Merger: creation (all die) / absorption. Draft published $\geq$ 1 month before GMs; GMs within 6 months; expert if any S.A.; exchange ratio at **fair value**; 1-month creditor opposition; deed; **effective on registration**; challenge 3 months.
Special: 100% subsidiary (no exchange, no capital increase, no reports, no absorbed GM) · twins · 90%.

	Shares go to	**Original co.**
Total demerger	members	extinguished
Partial demerger	members	survives (capital $\downarrow$)
Segregation	**the company**	survives (parent)

Dissolution causes: term · GM · activity ends · paralysis · **equity** $<$ **1/2** · capital $<$ minimum.
Dissolution $\rightarrow$ liquidation ("en liquidación", liquidators, inventory 3 months, creditors first, challenge distribution 2 months) $\rightarrow$ extinction (personality ends).

Look-alikes that MCQs love

- **2/3 vs 1/2**: equity $<$ 2/3 (S.A., 1 year) $\Rightarrow$ *reduce*; equity $<$ 1/2 (both) $\Rightarrow$ *dissolve*.
- **Solidarios** = each alone · **mancomunados** = together.
- **Segregation**: the *company* gets the shares; demergers: the *members*.
- **Legal capacity** (birth) vs **capacity to operate** (18).
- **Regulation** (direct) vs **Directive** (transpose) vs Spanish *regulation* (Royal Decree).
- **Trademark** (product) vs **trade name** (business) vs company name.
- **Collective** (association members) vs **guarantee** (quality) mark.
- **Misleading act** (false info) vs **confusion** (with a rival).
- **Debts** liability (crisis, later debts) vs **damages** liability (fault).
- **Corporate** action (company harmed) vs **individual** (direct harm).
- Increase by **reserves**: equity unchanged; by **loans**: equity $\uparrow$.
- Dissolution $\neq$ end of personality (only **extinction**).

U8 · Trademarks & patents

	Trademark	**Patent**
Law	Act 17/2001	Act 24/2015
Born by	OEPM registration (2-month opposition)	OEPM grant
Duration	10 yrs, renewable ∞	20 yrs, not renewable
Use duty	5 yrs non-use $\Rightarrow$ lapse	exploit in 3 (grant) / 4 (filing) yrs

Types: collective · guarantee · renowned (beyond class, even unregistered) · EU · international. Trade name = identifies the business.
Prohibitions: **absolute** (descriptive, deceptive, flags) nullity **no limit** · **relative** (earlier marks) **5 yrs**.
Patent: novelty (worldwide) + inventive step + industrial application. Not: discoveries, maths, software as such. Employee: service $\rightarrow$ employer · mixed $\rightarrow$ employer pays · free $\rightarrow$ employee.

U9 · Competition

LDC 15/2007: **prohibited** collusion (objective) & abuse (dominance itself OK) · **controlled** concentrations & State aid.
De minimis: competitors $\leq$ 10% · non-competitors $\leq$ 15% · networks 5% – never price fixing / market sharing / resale price.
Notify CNMC: $\geq$ 30% share **or** $>$ €240M turnover with two $>$ €60M; suspension. State aid de minimis €200k / 3 yrs.
Fines 1–10% turnover; managers €60k; leniency. CNMC (Audiencia Nacional) / Commission (General Court).
LCD 3/1991: objectively against good faith; before/during/after; open list. Defamation (true personal facts too) · comparison · imitation · secrets · confusion · misleading · aggressive · below cost (if misleading / eliminating).